MYTH #5

INVESTING IS COMPLICATED AND TIME-CONSUMING

Investing can be complicated. But often the complication is self-inflicted. Investors start investing on their own without the necessary experience or expertise. You need a licence to drive a vehicle, but having a licence doesn't guarantee you won't meet with an accident. Think of investing in the same manner; often one has no knowledge about investing and lose money by following a wrong approach. While there are complex investment instruments that exist such as structured products and derivatives, there are also simple instruments such as blue-chip stocks, mutual funds, ETFs and NPS (National Pension System) etc.

Then there are professional advisors and experts who can guide you with investing. You can think of them as doctors who treat your medical condition or even the driver of your car who takes away the headache of manoeuvring your car in traffic so that you can travel peacefully. Basically, choose financial instruments that are easy to understand or use experts whom you can engage to act in your best interest, even as you learn about investing to know what is happening to your money.

One of the basic tenets of investing is to follow asset allocation and diversification. It's like a balanced diet of protein, vitamins, fats and carbohydrates. Essentially, you invest in a mix of financial assets, be it debt, equity, real estate, gold or cash. ■

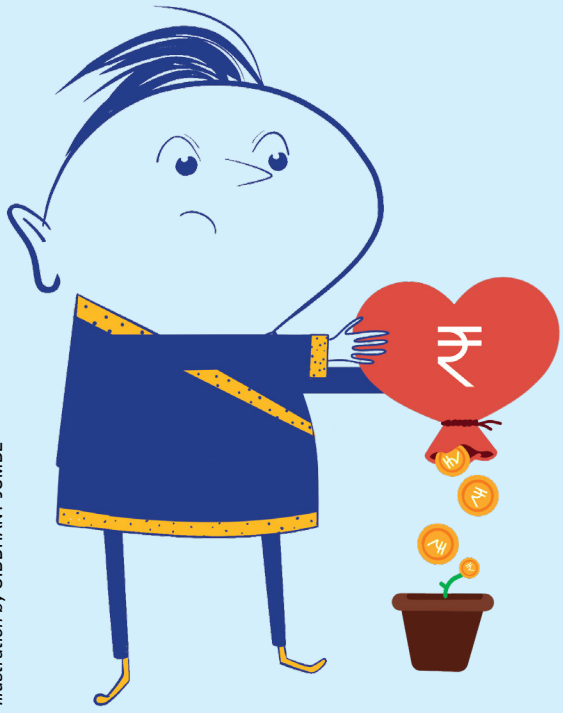


Illustration by SIDDHANT JUMDE

It is understandable to be anxious, it is equally essential to keep our emotions in check when making investment decisions

MYTH #6

YOU NEED A LOT OF TIME TO TRACK MARKET NEWS

How much time you deploy to track and evaluate your investment is up to you. Normally, when you sow a seed, you do not measure the growth of the plant every day. You take care of the plant by exposing it to sunlight, water it regularly and add manure for speedy and healthy growth of the plant. Over time, you figure out that the plant grows at its natural pace, as long as you take care of it. Your investment in markets is similar; you should know what is happening and its impact on your investment. Engaging an expert advisor can be helpful in addressing your concerns or you could invest with a specific time-frame and suitable investment instrument that suits that goal. For instance, when investing for six months, you should look for a non-volatile financial instrument like a debt fund instead of a stock or equity mutual fund. ■

MYTH #7

INVESTING IS ONLY FOR EXPERTS

The stock markets are too evolved and interlinked these days. It is near impossible for every individual to know everything about investing or how economic, geopolitical and other factors would impact the stock markets. For instance, the Indian markets find investors from evolved economies who may exit their investments in India for reasons that may have nothing to do with India, but a policy or economic condition in their respective countries.

For the 'less expert' investor, investing is not just about buying and selling but also about knowing when to hold and for how long. As seen earlier, there are financial instruments to address every need and risk profile. Investing in a broad index fund or ETF (exchange traded fund) doesn't require expertise; ditto for long-term diversified MFs. Funds can be less risky than buying shares in a single company for if one of the investments loses money, it can be balanced out by other investments in the fund. ■